

AUTO RITE IT

PERSONAL DATA

The Minister for Legal Protection

Mr. S. Dekker

P.O. Box 20301

2500 EH The Hague

Date

September 29, 2021

Subject

Our reference

z2021-11136

Contact person

Dutch Data Protection Authority

P.O. Box 93374, 2509 AJ The Hague

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Your letter dated

June 9, 2021

Your reference

3339039

Advice on the draft for the Decree on the reliability and suitability of supervisors and directors of collective management organizations

Dear Mr. Dekker,

In a letter dated June 9, 2021, the Dutch Data Protection Authority (AP) was consulted based on the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft decree containing rules concerning the assessment by the Supervisory Board of the reliability and suitability of a person who is or will be entrusted with the tasks of the body exercising the supervisory function or managing the daily operations in a collective management organization (Decree on the reliability and suitability of supervisors and directors of collective management organizations) (hereinafter: the draft).

The AP has several comments on the draft and advises that these be taken into account.

Scope of the draft

The draft concerns the authority of the Supervisory Board as referred to in Article 2 of the Act on supervision and dispute resolution for collective management organizations for authors' and neighboring rights (Supervision Act) to assess the reliability and suitability of the person who leads or supervises a large collective management organization (cbo).

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The decree is based on Article 5aa of the Supervision Act, the effective date of which is yet to be determined.

After a cbo notifies of a proposed appointment or reappointment of a manager, the Supervisory Board can determine within four weeks whether "the reliability and suitability of that person is beyond doubt."

2 The Supervisory Board may opt for a less intrusive assessment or refrain from an assessment during the appointment of the manager.

3 A later assessment is also possible "if there is a reasonable cause for it."

4

When the possibility of assessment is utilized, the reliability and suitability of the (candidate) manager is determined based on an investigation.

5 This investigation can be conducted by another party appointed by the Supervisory Board.

6

The data on which the investigation is based is provided by the cbo

7 or requested by the Supervisory Board from the (candidate) manager. This includes at least a notification form, the curriculum vitae, three references, a reliability investigation form, including a questionnaire regarding antecedents, a certificate of conduct, and a justification regarding the proposed appointment, using a suitability matrix.

8 The cbo may also provide other information, such as an assessment report or a cover letter,

9 and the Supervisory Board may request additional information and conduct one or two interviews with the relevant person.

10

The determination of reliability and suitability is based on the factors mentioned in Article 8 of the draft: respectively, the intentions, actions, and antecedents of the (candidate) manager, and the education, work experience, and competencies of this person. The weighting of relevant elements is addressed in Article 8, third paragraph: the Supervisory Board must take into account the nature and gravity of the relevant position and the nature and scope of the activities of the cbo.

Advice

The draft regulates the supervisory authority of the Supervisory Board regarding the assessment procedure that large cbo's follow during the (re)appointment of managers. By establishing

1 Decree of December 22, 2020, establishing the time of entry into force of the Amendment of the Act on supervision and dispute resolution for collective management organizations for authors' and neighboring rights (Stb. 220, 561).

2 Article 2 draft.

3 Explanation, p. 11.

4 Article 3, first paragraph, draft.

5 Article 5 draft:

"The Supervisory Board determines the reliability and suitability of the person through an investigation. The Supervisory Board can conduct this investigation itself or have it conducted by a third party determined by the Supervisory Board."

6 Explanation, p. 12.

7 Article 2, first paragraph, draft.

8 Article 6 draft.

9 Explanation, p. 12-13.

10 Article 7 draft.

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The draft specifies which data will be provided and on what basis the reliability and suitability of the (candidate) manager will be assessed, and it includes legal safeguards. Nevertheless, the AP makes several remarks.

Necessity

The draft lists in

4 Appendix 1 the categories of personal data for which it aims to grant the Supervisory Board the authority to process them; convictions related to any of the mentioned criminal offenses, criminal orders, settlements, dismissals, acquittals, or discontinuations of prosecution, or other facts or circumstances as evident from reports or official records; personal or business financial antecedents;

supervisory antecedents; personal and business tax administrative antecedents; other antecedents. The list resembles Appendix A of the Decree on Prudential Rules Wft.

The processing of personal data must be necessary for the fulfillment of the public interest task assigned to the Supervisory Board. Furthermore, the principle of minimal data processing applies, whereby the processing of personal data must be adequate, relevant, and limited to what is necessary for the purposes for which they are processed.

The AP notes that Appendix 1 contains a particularly broad enumeration of data. It is not immediately clear why all these data are necessary for assessing the reliability and suitability of (candidate) managers of large CBOs. From the necessity requirement, it is essential to verify whether the data is needed for each category of personal data and for each time frame.

Moreover, some of the categories of personal data are already considered by the Justis Service when determining whether to provide a certificate of conduct. It is unlikely that a "second" screening by the Supervisory Board on points that are investigated with a greater degree of protection of personal data by the Justis Service is necessary to establish the suitability and reliability of the (candidate) manager.

Furthermore, it is questionable whether non-verified or "soft" data, for which there is no conviction or other authoritative determination of the antecedent, are reliable enough to be taken into account during a screening, or at least what weight should be assigned to such data (see under the heading 'Assessment Framework').

Part of this data (particularly police data in reports or official records) cannot be processed in the manner intended by the draft because they cannot be provided by the individual concerned.

11 Article 6, first paragraph, part e GDPR.

12 Article 5, first paragraph, part c GDPR.

13 See Authority Personal Data, Draft Bill to amend the Act on Judicial and Criminal Data in connection with the possible refusal to issue a certificate of conduct based on police data (22017-03746), pp. 3-4.

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The AP advises that data already being processed for the certificate of conduct should not be included in Appendix 1 of the draft or that the necessity for supplementing the VOG should be justified.

The AP advises that for each category of data and for each time period, the necessity of providing this data to the Supervisory Board for the investigation should be substantiated, taking into account that 'soft' data is less reliable.

Processing of criminal personal data by another party

The questionnaire regarding antecedents and the requirement to submit a certificate of conduct can both lead to the processing of personal data concerning criminal convictions and offenses or related safety measures (hereinafter referred to as criminal personal data). The draft stipulates that the assessment can be outsourced to another party. According to the explanation, this other party is a processor in the sense of the GDPR.

The AP notes that outsourcing to a processor does not require a legal basis. The processing is then merely carried out factually by the other party, entirely under the responsibility and control of the Board. The consequence is that the contracting third party cannot use its own research methods insofar as essential means for processing must be determined by this party. In that case, the contractor acts as the data controller.

The AP notes that outsourcing to a processor has such limitations that the question arises whether this can indeed provide the expected added value.

Criminal personal data in the sense of Article 10 GDPR may be processed (1) under the control of official authority or (2) based on legal provisions that provide appropriate safeguards for the rights and freedoms of the data subjects. In this case, with processing by the Board—whether or not with the assistance of a processor—there is government oversight in the sense that the processing is carried out by a public authority that is the data controller in the sense of Article 4, point 7, GDPR.

If the contractor is the data controller, there is no subsequent processing that takes place under the supervision of the government. Therefore, if the assignment also involves expertise regarding the choice of means, only holders of a license based on Article 33, paragraph 4, of the UAVG can qualify as contractors.

The AP advises considering the nature of the intended outsourcing and depending on that:

- either to delete the phrase 'or have it carried out by a third party to be determined by the Supervisory Board' in Article 5 of the draft and to elaborate in the explanation on the inherent limitations of using a processor; or
- to clarify in the explanation that only contractors with a license are eligible for outsourcing.

14 Explanation, p.12 and p.16; Article 4, paragraph 8, GDPR.

15 European Data Protection Board, Guidelines 07/2020 on the concepts of controller and processor in the GDPR (July 7, 2021), p. 15-16.

16 Article 4, paragraph 7, GDPR.

17 CJEU EU June 22, 2021, C-439/19, ECLI:EU:C:2021:504, para. 101.

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Legal Basis

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Pursuant to Article 5, paragraph 1, subparagraph a and Article 6 of the GDPR, any processing of personal data must be based on a legal ground. The data was provided by the (candidate) manager to the cbo or to the Supervisory Board. The explanation mentions the consent of Article 6, paragraph 1, subparagraph a, of the GDPR as a possible legal basis for this provision.

Consent in the sense of the GDPR is only legally valid if it has been given freely. There is no question of this when the data subject has no real choice. This situation arises when the data controller exercises a legal authority. The Supervisory Board can invoke the legal ground mentioned in Article 6, paragraph 1, subparagraph e, of the GDPR: the processing of personal data in the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

The Data Protection Authority advises to adjust the explanation on this point.

Assessment Framework

The draft contains an assessment framework that the Supervisory Board must use when determining the reliability and suitability of a (candidate) manager. This assessment framework does not address the nature and relevance of the provided data. It is important to also consider the weight and age of the information and the antecedent. When information is provided that has not been verified in an authoritative manner or that reflects a personal opinion, the nature of the information must also be taken into account.

18 Explanation, p. 16.

19 Article 4, subparagraph 11 of the GDPR.

20 European Data Protection Board, Guidelines 05/2020 on consent under Regulation 2016/679, p. 8.

21 Article 8, paragraph 3, draft:

'The Supervisory Board takes into account the nature and weight of the position for which that person is being considered, and the nature and scope of the activities of the collective management organization.'

22 Cf. Article 1.7 Policy Rule Suitability 2012.

23 Cf. Article 6 and Article 7 Directive (EU) 2016/680 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons in relation to the processing of personal data by competent authorities for the purposes of the prevention, investigation, detection, or prosecution of criminal offenses or the execution of criminal penalties, and on the free movement of such data and repealing Framework Decision 2008/977/JHA of the Council (OJ EU 2016, L 119/89); Article 7c and Article 39b Act on Judicial and Criminal Procedural Data; Article 4, paragraph 3, Police Data Act; Data Protection Authority, Draft Bill to amend the Act on Judicial and Criminal Procedural Data in relation to the possible refusal to issue a certificate of conduct based on police data (22017-03746), p. 5.

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The DPA advises that in Article 8, paragraph 3 of the draft, the weight, age, and nature of the information and the antecedent should also be included as relevant factors in the assessment of the collected information and antecedents.

Disclosure of the Advice

The DPA intends to publish this advice after four weeks on the website

www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Sincerely,

Data Protection Authority,

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Katja Mur

Board Member